

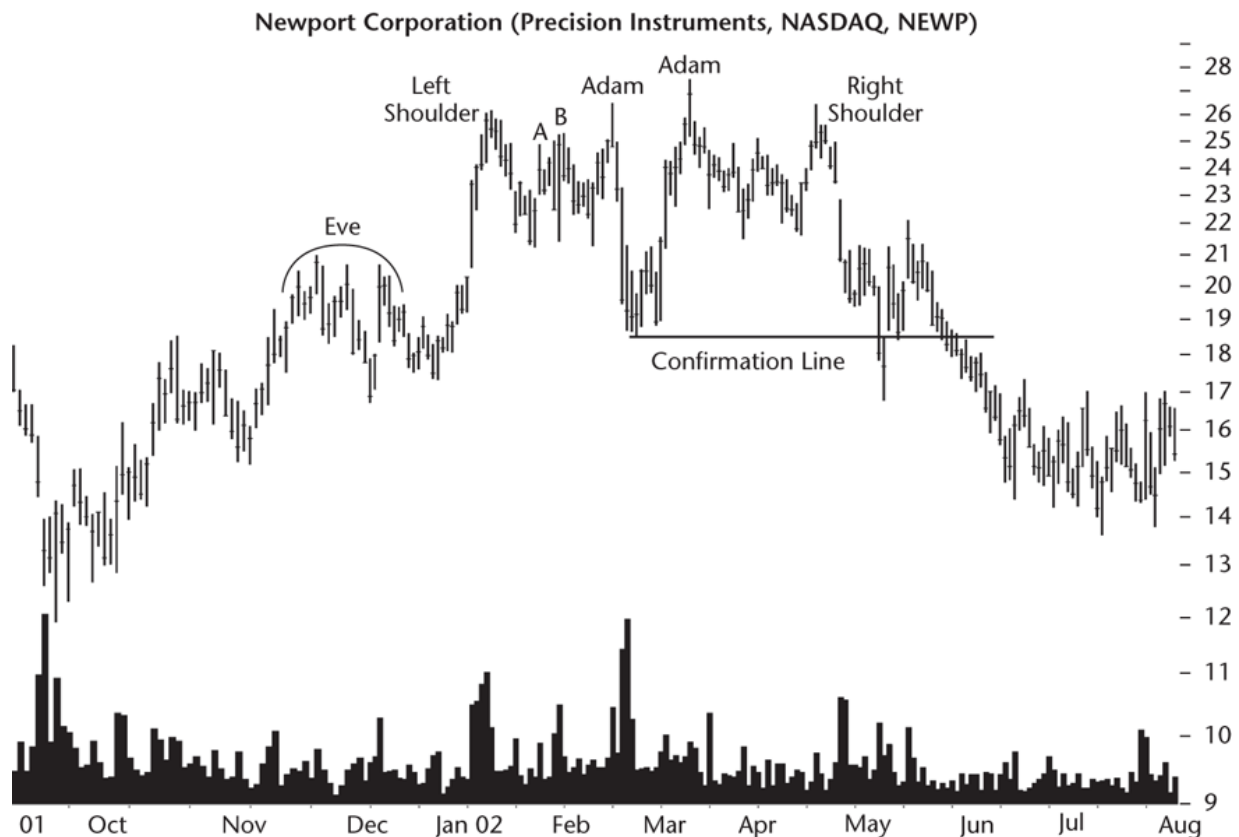


Figure 30.4 An Adam & Adam double top within a complex head-and-shoulders top. The double top acts as a dual head for the complex head-and-shoulders top.

Top separation. How far apart should the peaks be (in time)? Some analysts argue that a month is the minimum, but I put no such limitation on the patterns I selected. However, be sure that the tops are distinct minor highs.

Price decline after right top. The stock must decline to the confirmation price before you consider taking a position unless the situation warrants a quicker move. Sometimes, instead of confirming, the stock forms another peak, forming a triple top. If that happens, treat the pattern as a triple top.

Volume. Volume is usually higher on the left peak than on the right. Linear regression on the volume from peak to peak says it trends lower from left to right.

Breakout direction. A breakout occurs when price closes below the lowest valley between the two tops. The breakout is always down, or else you're